

SHRIRAMFIN

Book Value

13.02

ROE

15.12

Interest Coverage

0.68

Debt/Equity

3.99

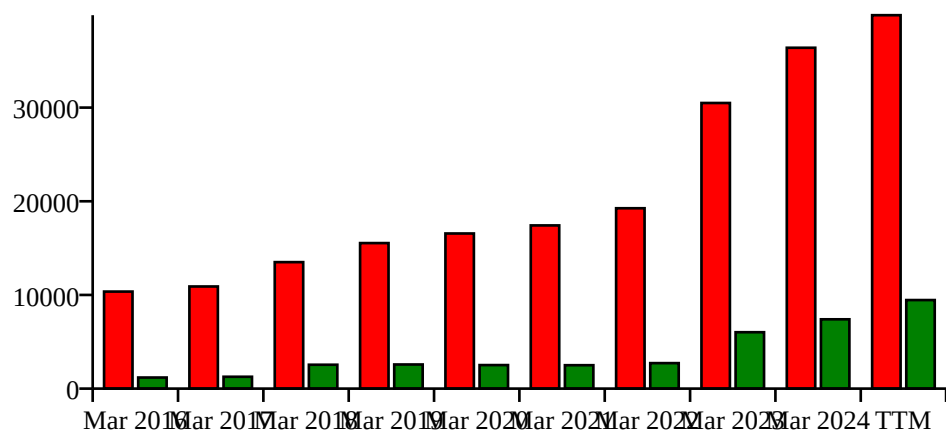
Revenue CAGR

18.56

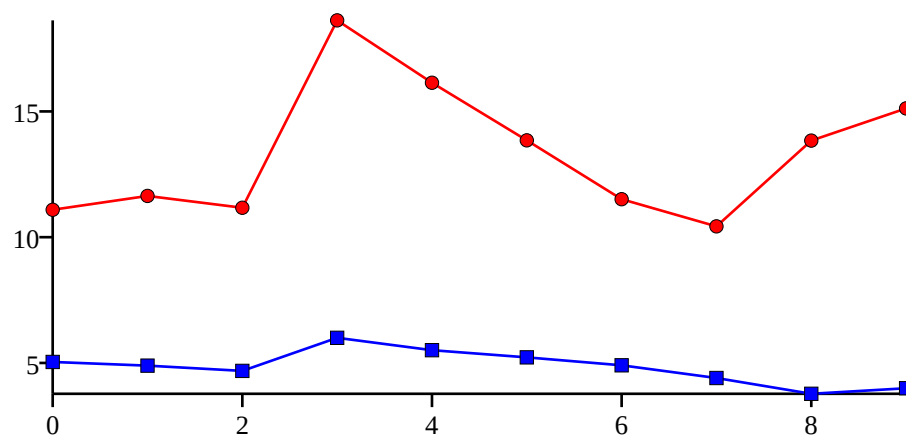
PAT CAGR

23.49

Revenue vs Net Profit (10 Years)



ROE vs Debt-to-Equity



Pros

- Revenue growing above 15% CAGR over 5 years reflects strong business momentum.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Net profit compounding above 20% over five years creates significant shareholder value.
- Return on equity improving for three consecutive years shows strengthening business quality.

Cons

- Debt-to-equity ratio of 3.99 is elevated and warrants monitoring.
- Free cash flow negative for three consecutive years raises concern about cash generation quality.
- Interest coverage ratio below 1.5x indicates elevated debt servicing risk.
- Borrowings have increased for three consecutive years, indicating rising leverage.

Capital Allocation : Growth Funded by Debt